GOVERNMENT OF JAPAN

Cabinet Secretariat / Ministry of Foreign Affairs

Strategic Reconstruction Framework

(SRF)

A Global Response to China's Industrial Collapse and Semiconductor Supply Risks

Draft for Policy Planning

Government of Japan / G7 Use Only

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Part 1. Executive Summary

The collapse of China' s manufacturing capacity represents the most significant supply-chain shock since World War II. Power shortages, halted chemical production, PCB disruptions, and imminent failure of DRAM/NAND production create a global systemic risk.

This document proposes two concurrent strategic frameworks:

1. **SRF – Semiconductor Reconstruction Fund**
   A G7-led initiative, centered on Japan and the United States, to substitute China-dependent production with a diversified architecture.
2. **THP-0 China – Post-CCP Recovery Plan**
   A non-intervention recovery plan focused on humanitarian stabilization and city-level governance restoration following political failure.

Both frameworks operate under *existing international law*, require *no regime-change operations*, and emphasize *transparency* via the CLEAR verification layer.

Part 2. Strategic Rationale

2.1 China's Industrial System is Entering Irreversible Failure

Evidence from power-grid blackouts, water shortages, halted epoxy/chemical production, and worker displacement indicates:

- **No 12–36 month recovery path**: The infrastructure damage is systemic.
- **Permanent loss of semiconductor ecosystem**: Critical nodes are offline.
- **High probability of regional administrative collapse**: Governance is fracturing.

2.2 Global Industries Cannot Absorb the Shock Without Coordinated Replacement

Critical "non-substitutable" sectors facing immediate risk include:

- DRAM / NAND (Hynix, Samsung facilities in China)
- High-density PCBs

- MLCC (Multi-Layer Ceramic Capacitors)
- Battery components (electrolytes, separators)
- Industrial chemicals (epoxy, resins)

Japan, Taiwan, the U.S., and ASEAN are the only viable substitutes.

Part 3. SRF – Semiconductor Reconstruction Fund

3.1 Purpose

To rebuild the global semiconductor backbone by replacing China-origin production through G7–ASEAN cooperation.

3.2 Structure

- **Lead Nations**: Japan, U.S.
- **Supporting**: EU, Taiwan, Singapore, Malaysia, Vietnam
- **Funding**: **¥10 trillion** (multi-year issuance), audited via CLEAR layer
- **Instruments**:
  - JPYC-backed liquidity facilities
  - Emergency credit lines
  - Relocation subsidies
  - Capital expenditure acceleration

3.3 Manufacturer-by-Manufacturer Strategy

1. Hynix – Primary Rescue Target

- Technologically competitive and structurally viable.
- Requires liquidity, not political protection.
- **Action**: Full SRF support.

2. Samsung – Selective Support

- Burdened by excessive non-semiconductor exposure and global overextension.
- **Action**: Support restricted strictly to **semiconductor-only lines**.

3. Kioxia–Micron Anchor Alliance

- Provides redundancy for global DRAM/NAND supply.
- Japan + U.S. core.
- **Action**: Serve as the "dual-capacity backbone."

4. Taiwan Ecosystem

- Essential for risk distribution.
- **Action**: Leverage Foxconn relocation away from China to ensure PCB/MLCC continuity.

3.4 Sectoral Relocation Strategy

- **Chemicals (Japan)**: Most efficient relocation for epoxy, resins, and precursors due to safety regulations and grid stability.
- **PCBs (ASEAN)**: Malaysia, Thailand, and Vietnam offer rapid absorption capacity.
- **Batteries (Japan + U.S.)**: Japan for advanced materials; U.S. for scaling; Korea for specialized lines.

Part 4. THP-0 China – Post-CCP Reconstruction Plan

Humanitarian-first, Non-Intervention, City-Based Model

4.1 Non-Intervention Principles

- No military entry
- No political engineering
- No regime-change operations
- Respect for sovereignty
- Transparent humanitarian access

4.2 Why the City-Based Model?

China cannot be reconstructed as a single administrative unit due to infrastructure failures, province-level divergence, and the breakdown of fiscal transfers. Therefore, reconstruction must utilize **City Administrative Zones (CAZ)**:

- Shanghai, Shenzhen, Guangzhou, Chengdu, Chongqing, Tianjin, etc.

4.3 Operational Layers

1. **Layer 1: Humanitarian Stability**

   Food, water, medical, evacuation corridors. Verified by CLEAR to avoid corruption.

2. **Layer 2: Civil Administration Restart**

   Local public services, policing, safety, electricity, water, waste systems.

3. **Layer 3: Economic Restart**

   Industrial zones, SME revival, international logistics resumption.

Japan's Contribution

- Logistics and Verification (CLEAR)
- Financial stabilizers
- **Note**: No troop deployment.

Part 5. Expected Outcomes

- **Prevention** of global semiconductor collapse.
- **Controlled transition** in mainland China.
- **Market Stability**: Global markets avoid disorderly shock.
- **Currency Anchor**: Yen becomes a natural stabilizing anchor.
- **Alliance Coherence**: G7 regains coherence even amid U.S. political instability.
- **New Supply Chain**: ASEAN becomes the new manufacturing corridor.

Part 6. Closing Statement

This document provides a **practicable, politically neutral, and internationally lawful** framework for managing the world' s largest supply-chain failure in modern history.

Japan is uniquely positioned to lead—quietly, effectively, and transparently.